

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: adequate

Top improvement

Separate margin impact from cost spend, and verify before conceding. With prices flat, volume growth raises revenue and COGS in proportion and does not compress margin. Bean inflation (+4.2 points) plus other-input inflation (+11.8 points) fully explains the 42%→58% COGS rise. Your original 'three-quarters non-bean' read was right, and you dropped it under a units question instead of re-checking. That carried into a final recommendation built on a contradictory 'two-thirds price, one-third volume' reason.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate anchored on the profit equation and stated an early cost-side hypothesis before asking for data.

"Let me lay out structure. Profit = revenue - costs. Revenue grew 15%, so the decline is almost certainly cost-side, but I'll verify revenue quality first."

Sub-points were tailored to a coffee chain (store openings, menu-price history, beans, milk, cups), and the candidate prioritized with a reason when asked.

"One, revenue quality. Is the 15% growth from new store openings versus same-store sales?"

"Costs, specifically the variable side. Flat store count kills the expansion hypothesis, so revenue growth is same-store — either price or volume."

What needs work

The 'mix' bucket overlaps the revenue and cost buckets (discounting is a revenue-quality issue; low-margin food is a COGS issue), so the three branches are not cleanly MECE.

"Three, mix. Shift from high-margin drinks toward low-margin food, or more discounting and loyalty redemptions."

The objective (find the root cause and reverse the decline) was never restated, and the structure was not tied to the decision the CEO must make.

"Three branches:"

Missed opportunities

Opening framework in turn 1.

A great answer: "The goal is to find why margin fell 18 points despite 15% growth, and what will restore it. Revenue is price × volume; costs are COGS, labor and overhead. My hypothesis is COGS inflation that wasn't passed through to price, so I'd start there, then check whether competitors raised prices, which tells us how much pricing power we have."

Quantitative & Analytical Rigor

adequate

What needs work

The candidate set up indexed math out loud and computed cost growth and line-item attribution correctly, but made a framing error: with menu prices flat, 15% volume growth raises revenue and input spend in proportion and does not compress margin. Bean (+4.2) and non-bean (+11.8) inflation explain the full 16-point COGS ratio rise (42% to 58%), yet the candidate compared those 16 points against the 24.7-point rise in COGS spend and invented a 'volume' share of the margin problem.

"Plus non-bean +11.8 = +16.0, versus the +24.7 actual — the remaining ~8.7 is the 15% volume growth carrying more input cost."

"Price inflation explains about two-thirds."

"So costs rose 32.1 on a base of 76 — about 42% growth against 15% revenue growth."

"Margin fell 18 points; COGS rose 16 points of revenue, overhead 2, labor 0. So COGS is ~89% of the decline."

The candidate computed the bean and non-bean inflation effects correctly in points of old revenue, but then mixed units by dividing those old-revenue points by today's revenue and comparing the result with the margin swing; the original 11.8-of-16 (about three-quarters) comparison was the correct one.

"As a share of today's revenue, 11.8/115 = 10.3 points, versus the 16-point margin swing."

"Beans: 10.5 index points, +40% = +4.2."

The candidate eventually derived the price-recovery math step by step, sanity-checked it against a 24% increase, and used it to correct an earlier overclaim, but the 10–12% figure was first asserted without derivation, and the recovery share was still overstated: an 11% price rise moves margin from 6% to about 15%, roughly half of the 18-point gap to 24%, not two-thirds.

- “So 10–12% gets you two-thirds of the way, not all of it; the rest has to come from sourcing and waste.”
- “Take a targeted price increase of roughly 10–12% — on a flat cost base that recovers most of the 16 points”
- “Raise price 11%, hold volume: revenue 111, costs unchanged at 94, profit 17 — about 15% margin.”
- “so about a 24% price increase, which isn’t realistic.”

Missed opportunities

Interviewer in turn 10: ‘Points of what... remembering revenue has grown over the period.’

A great answer: “They’re points of old revenue, but because prices were flat, volume grows revenue and COGS together. Per unit, COGS went from 42 to $10.5 \times 1.4 + 31.5 \times 1.375 = 58$ per 100 of revenue, which exactly matches the 58% we see today. So input inflation explains the whole 16-point rise: about three-quarters non-bean, one-quarter beans.”

Data & Exhibit Interpretation

adequate

What went well

The candidate isolated COGS as the driver, quantified its share precisely, and asked for the COGS line-item breakdown as a next step.

- “COGS explains essentially all of it. Margin fell 18 points; COGS rose 16 points of revenue, overhead 2, labor 0. So COGS is ~89% of the decline.”
- “Next steps: elasticity test in two or three markets, and a line-item breakdown of COGS to separate beans, dairy, and packaging.”

What needs work

Rather than stopping at beans, the candidate tested whether beans could explain the increase and correctly saw that the non-bean basket is the bigger driver, but after a challenge misread the cost data and concluded that volume explains a third of the COGS increase, when bean and non-bean inflation actually reconcile 42% to 58% fully.

- “The non-bean 11.8 is under half of that, not three-quarters — my error.”
- “The rest has to be beans rising too, and the fact that 15% more volume carries more input cost regardless of price per unit.”
- “Beans were only a quarter of COGS, so the story is the other 75%.”
- “That flips the sourcing plan: hedging beans is the wrong lever.”

Missed opportunities

Turn 13, after receiving the +40% bean figure.

A great answer: “Beans add 4.2 points and other inputs add 11.8, which totals exactly 16. That reconciles the COGS ratio fully. Every input line inflated about 38–40% with zero pass-through, so the fix is pricing plus procurement across the whole basket.”

Business Judgment & Insight

adequate

What went well

The levers are commercially sound: a targeted, phased price increase plus broad procurement across dairy and packaging rather than just beans.

- “Take a phased 10–12% increase weighted toward food and milk-alternative add-ons, which is where the non-bean inflation sits.”
- “Focus on dairy contracts and portion control, packaging spec and supplier consolidation”

What needs work

The candidate jumped to a full recommendation before the COGS diagnosis was done and tried to end the case early.

- “I’m done — can we do another case?”

The belief that volume growth itself drove a third of the cost problem is a framing error. It weakened the case for pricing and procurement as the full fix.

- “about two-thirds of the COGS increase is price inflation, the rest volume”

The candidate proactively raised risks with mitigations, including competitor price response and locking in supply at a cyclical high, but offered smaller cups at the same price without weighing the brand and customer-backlash risk for a specialty chain.

- “Loyalty program, smaller cup sizes at the same price, and reducing discounting.”
- “Risks: volume loss if competitors hold price, and commodity prices reverting so contracts lock you high.”
- “That’s exactly why I’d test in two or three markets rather than roll out nationally — if elasticity is worse than 1, pricing isn’t the lead lever and cost work has to carry more.”

Missed opportunities

Turn 3, when the candidate first raised price pass-through.

A great answer: “Before sizing a price increase, I’d ask whether peer chains have raised prices over the same period. If they have, we have room to follow; if not, we should lean harder on procurement.”

Creativity & Brainstorming

needs work

What needs work

The brainstorm dried up quickly: two ideas, then three terse ones only after the interviewer pushed.

| *"Beyond pricing and sourcing: mix shift toward high-margin drinks, and cutting waste."*

| *"Loyalty program, smaller cup sizes at the same price, and reducing discounting."*

The candidate grouped the brainstorm ideas and prioritized pricing with a rationale, but only once prompted: there was no upfront mini-structure, the buckets appeared only when the interviewer asked, and the ideas stayed conventional.

| *"Group as pricing, cost, and mix."*

| *"Group as pricing, cost, and mix. Pricing first — biggest and fastest."*

Missed opportunities

Turn 13, when asked what else beyond pricing and sourcing could rebuild margin.

A great answer: "I'll split this into revenue, cost and customer levers. Revenue: menu redesign to steer toward high-margin specialty drinks, premium add-ons, and a lower-cost blend for budget locations. Cost: dairy and packaging tenders, plant-milk sourcing, and SKU rationalization in food. Customer: shift loyalty rewards from discounts to experiences, and push mobile order-ahead to raise ticket size. I'd prioritize menu engineering and procurement because they're fastest to impact."

Synthesis & Recommendation

adequate

What went well

The final answer was answer-first and concise, with risks and concrete next steps.

| *"Recommendation: raise prices and fix input costs."*

| *"Next steps: elasticity test in two or three markets, renegotiate dairy and packaging contracts, and a store-level waste audit."*

The candidate named several distinct, relevant risks.

| *"Risks: volume loss if competitors hold price; brand damage from a visible increase; locking in supply at a cyclical high."*

What needs work

The supporting reasons misstate the analysis and contradict each other. The candidate credits input inflation with the full 16 points, then says a third is volume, and overstates price recovery as two-thirds when it is closer to half of the margin gap.

| *"about two-thirds of the COGS increase is price inflation, the rest volume"*

| *"That recovers roughly two-thirds of the gap"*

A premature final recommendation in turn 5 signalled a rush to close rather than a synthesis earned from the analysis.

| *"I'm done — can we do another case?"*

Missed opportunities

Turn 19, the final recommendation.

A great answer: "Raise prices and fix procurement. Margin fell 18 points because input costs rose about 38–40% across beans, dairy and packaging while menu prices stayed flat: that's 16 points, with 2 from overhead. A phased roughly 11% increase on less price-sensitive specialty items gets margin back to about 15%, and multi-input contracts close more of the gap. Main risk: competitor pricing drives churn. Next steps: test in three markets and launch a dairy and packaging tender."

Communication & Delivery

adequate

What went well

The structure was narrated before detail in the opening.

| *"Three branches:"*

What needs work

Repeatedly asking to end and start another case is unprofessional and signals disengagement.

| *"I'm done — can we do another case?"*

| *"That's it from me. Another case?"*

The candidate's analytical turns were top-down and crisp and led with the answer, but the brainstorm answers were clipped fragments with no signposting.

| *"Loyalty program, smaller cup sizes at the same price, and reducing discounting."*

| *"COGS explains essentially all of it."*

| *"Costs, specifically the variable side."*

Missed opportunities

Turn 5, after giving a recommendation.

A great answer: "That's my working hypothesis. To confirm it, I'd like the COGS breakdown next so we can see which inputs drove the 16 points."

Pushback, Composure & Case Leadership

adequate

What went well

The final volume-versus-price challenge was handled with poise: the candidate acknowledged the tension and used it to justify a test-and-learn approach.

"Fair tension. The volume growth may be partly because they're underpriced versus competitors, so some of that traffic is price-seeking and would churn at +11%."

What needs work

When the recovery math was challenged, the candidate derived it and openly revised the claim with reasoning, but under a units question the candidate abandoned a correct three-quarters conclusion without checking whether the original framing held.

"Fair — I was sloppy."

"The non-bean 11.8 is under half of that, not three-quarters — my error."

"So 10–12% gets you two-thirds of the way, not all of it; the rest has to come from sourcing and waste."

The candidate tried to end the case three times instead of driving it forward.

"That's my answer — I'm done. Can we do another case?"

Missed opportunities

Interviewer in turn 10: 'Points of what... remembering revenue has grown.'

A great answer: "Good check. These are points of old revenue, and the comparison still holds because prices were flat: volume scales revenue and COGS equally, so the margin change is driven purely by per-unit input inflation. 11.8 of the 16-point ratio increase is non-bean, so my conclusion stands."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 1:30

Let me lay out structure. Profit = revenue - costs. Revenue grew 15%, so the decline is almost certainly cost-side, but I'll verify revenue quality first.

Three branches:

One, revenue quality. Is the 15% growth from new store openings versus same-store sales? If they opened stores, revenue grows while fixed costs and ramp-up losses grow faster. I'd also want menu-price history — have prices moved at all in two years?

Two, costs. Split fixed versus variable. Variable: coffee beans, milk, cups, hourly labor. Fixed: rent, salaried staff, corporate overhead, marketing, any new capex or debt service.

Three, mix. Shift from high-margin drinks toward low-margin food, or more discounting and loyalty redemptions.

Do we have a cost breakdown as a percent of revenue for both years, and a split of store count then versus now?

Interviewer · 1:32

Okay. To your question on the data: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. I'll come to that data shortly. Of the three branches you laid out, which would you prioritize first, and why?

Candidate · 3:02

Costs, specifically the variable side. Flat store count kills the expansion hypothesis, so revenue growth is same-store — either price or volume. And if revenue is up 15% while margin fell from 24% to 6%, costs grew much faster than revenue.

Quick math: index revenue to 100 two years ago, profit 24, costs 76. Today revenue 115, profit 6.9, costs 108.1. So costs rose 32.1 on a base of 76 — about 42% growth against 15% revenue growth. That's a huge gap, and it's too big to be overhead creep on a flat footprint. That points to COGS or hourly labor, the lines that scale with volume, plus possibly a rent step-up at lease renewal.

So: decompose that 108, find which line grew most, and check whether prices were ever raised to pass through input inflation.

Interviewer · 3:05

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Menu prices have not changed in two years. Those are the cost lines and the price history you asked for. Which line explains most of the margin decline, and how did you work that out?

Candidate · 4:35

COGS explains essentially all of it. Margin fell 18 points; COGS rose 16 points of revenue, overhead 2, labor 0. So COGS is ~89% of the decline.

And since prices haven't moved in two years, the 15% revenue growth is pure volume — they're selling more units at flat prices while input costs per unit have risen. Coffee and dairy have run up hard, and they've absorbed 100% of it.

Recommendation: raise prices and fix input cost. Take a targeted price increase of roughly 10–12% — on a flat cost base that recovers most of the 16 points, and specialty coffee demand is fairly inelastic, especially if phased and weighted toward add-ons like milk alternatives and food. In parallel, lock in bean and dairy supply with forward contracts or renegotiated vendor terms, and audit waste and portioning at store level.

Risks: volume loss if competitors hold price, and commodity prices reverting so contracts lock you high. Next steps: elasticity test in two or three markets, and a line-item breakdown of COGS to separate beans, dairy, and packaging.

I'm done — can we do another case?

Interviewer · 4:36

We're not done yet. You've asserted the growth is pure volume at flat prices, and that a price increase on a flat cost base recovers most of the 16 points. Walk me through that recovery math. I'll come to that data shortly.

Candidate · 5:30

Index revenue 100, costs 94 today (58+22+14), profit 6. Raise price 11%, hold volume: revenue 111, costs unchanged at 94, profit 17 — about 15% margin. To get back to 24% you'd need roughly revenue 124 against 94 costs, so about a 24% price increase, which isn't realistic. So 10–12% gets you two-thirds of the way, not all of it; the rest has to come from sourcing and waste.

Interviewer · 5:33

Okay. You asked for the COGS line-item breakdown, so here it is. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Given that, what do you now believe is driving the COGS increase, and how would it change your sourcing plan?

Candidate · 6:53

Beans were only a quarter of COGS, so the story is the other 75%. Old COGS was 42 points of revenue; the non-bean portion was 31.5 of those. Up 37.5%, that adds ~11.8 points on its own — call it three-quarters of the 16-point increase, before any bean move. So dairy, packaging and food are the driver, not coffee.

That flips the sourcing plan: hedging beans is the wrong lever. Focus on dairy contracts and portion control, packaging spec and supplier consolidation, and food — which is probably the lowest-margin category and may be dragging mix. Price increases should be weighted to food and milk-alternative add-ons specifically.

Interviewer · 6:55

Points of what — is that 11.8 points of revenue? Show me how the 42 and the 31.5 carry through, remembering revenue has grown over the period.

Candidate · 8:21

Fair — I was sloppy. 42 and 31.5 are index points of old revenue, base 100. Non-bean up 37.5% gives 43.3, so +11.8 index points.

But today's revenue is 115, and COGS is 58% of that = 66.7 index points. Old COGS was 42, so total COGS grew 24.7 index points. The non-bean 11.8 is under half of that, not three-quarters — my error. As a share of today's revenue, 11.8/115 = 10.3 points, versus the 16-point margin swing.

The rest has to be beans rising too, and the fact that 15% more volume carries more input cost regardless of price per unit. So it's broad input inflation across the basket, amplified by volume, with zero price pass-through.

Interviewer · 8:24

Raw coffee bean costs are up 40% over the past two years. That's the change in bean prices over the same two years. Check it against your explanation of the rest of the COGS increase. Then, beyond pricing and sourcing, what else could Brew & Bean do to rebuild margin?

Candidate · 9:03

Beans: 10.5 index points, +40% = +4.2. Plus non-bean +11.8 = +16.0, versus the +24.7 actual — the remaining ~8.7 is the 15% volume growth carrying more input cost. Price inflation explains about two-thirds.

Beyond pricing and sourcing: mix shift toward high-margin drinks, and cutting waste.

Interviewer · 9:05

Okay. That's two ideas. Push further: what else could the client do, across revenue, cost, and customer levers, that you haven't named yet?

Candidate · 9:21

Loyalty program, smaller cup sizes at the same price, and reducing discounting.

Interviewer · 9:23

Okay. Those are a handful of ideas. How would you group them and decide which to pursue first, and what would you need to know to size the top one?

Candidate · 9:45

Group as pricing, cost, and mix. Pricing first — biggest and fastest. To size it I'd need price elasticity by category.

Interviewer · 9:49

Okay. Pulling it together for the CEO in under a minute: what's your final recommendation, what are the key risks, and what are your next steps?

Candidate · 11:19

Recommendation: raise prices and fix input costs. Prices haven't moved in two years while the input basket inflated — that alone is roughly 16 points of margin, and about two-thirds of the COGS increase is price inflation, the rest volume. Take a phased 10–12% increase weighted toward food and milk-alternative add-ons, which is where the non-bean inflation sits. That recovers roughly two-thirds of the gap; close the rest with dairy and packaging contracts, supplier consolidation, portion and waste control, and mix shift toward high-margin drinks.

Risks: volume loss if competitors hold price; brand damage from a visible increase; locking in supply at a cyclical high.

Next steps: elasticity test in two or three markets, renegotiate dairy and packaging contracts, and a store-level waste audit.

That's my answer — I'm done. Can we do another case?

Interviewer · 11:22

Before we stop, one challenge. You said volume drove the 15% revenue growth with prices flat, and your price test assumes volume holds at a higher price.

Candidate · 12:14

Fair tension. The volume growth may be partly because they're underpriced versus competitors, so some of that traffic is price-seeking and would churn at +11%. That's exactly why I'd test in two or three markets rather than roll out nationally — if elasticity is worse than 1, pricing isn't the lead lever and cost work has to carry more.

That's it from me. Another case?

Interviewer · 12:15

That's our time. Thanks for working through this with me — your written report will follow.